3.4.2 Advantages

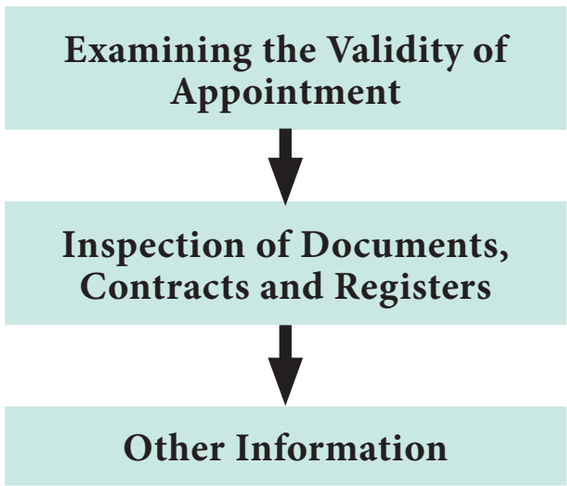
The following are the advantages of auditing the accounts of a Joint Stock Company.

1. **Verification of Accuracy of Books of Accounts:** Audit of accounts helps to verify the correctness of the financial transactions and accuracy of books of accounts.
2. **Detection and Prevention of Errors and Frauds:** Audit helps in detecting and preventing both errors and frauds and also exhibits a true and fair view of state of affairs of the company to the shareholders who are the owners of the company.
3. **Moral Check on the Management:** Audit of accounts enables to have a moral check on the management in order to protect the interests of the shareholders.
4. **Safeguards Interests of Shareholders:** When accounts are audited by an independent and a qualified auditor, the interests of the shareholders and third parties are protected and safeguarded against any frauds committed by the directors, promoters or managers.
5. **Valuable Suggestions:** Besides the above advantages, auditor who is in touch with the company operations can provide valuable suggestions.

3.4.3 Preliminaries Before Conduct of Audit

A company is an artificial judicial person and has separate legal entity. The share holders of the company are interested to know the financial position of the company. Hence, the audit of books of accounts for the limited company is compulsory. The auditor has to produce a report on the books examined by him and express a true and fair view of the profit and loss account prepared by the client. Before commencing the audit work, the auditor has to undertake certain preliminary steps. They are:

1. Examining the validity of his appointment
2. Inspection of Documents, Contracts and Registers
3. Other Information.



1. Examining the Validity of his Appointment

The auditor has to check that his appointment has been made as per the provisions of Companies Act. He has to ensure that his appointment has been validly made based on the different provisions for the appointment of auditor under Companies Act. The following are the various circumstances of appointment of auditor:

- Where he is appointed as first auditor, get a copy of the resolution by the directors about his appointment;
- Where he is appointed in the place of retiring auditor, he should enquire from the retiring auditor in writing, whether due notice was given to him and also the circumstances under which he retired, and also if the retiring auditor has any objection to his accepting the

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